

The Berk and Green theory is remarkable because it shows that, although fund managers are talented, none of that talent filters down to asset owners in equilibrium. That is, *the managers themselves benefit from their skill*: highly skilled managers attract more money and earn more in fees but do not pass these gains to investors.

The Berk and Green story is applicable not only to mutual funds—it is also a good description of all active asset management, including hedge funds and private equity, which we cover in the next two chapters.

3.6. FEES

There are three main ways that mutual funds levy fees:

Front-end loads (or the *sales charges on purchases*) take money when you invest. For example, if you put \$100 into a fund with a 5% front-end load, your balance is immediately cut to \$95.

Back-end loads (or the *deferred sales charges*) take money when you leave the fund.

Operating expense fees are paid when you are in the fund and are expressed as a proportion of AUM. *Management fees* are paid to actually manage the fund. The total *expense ratio* includes management fees and other annual recurring expenses, which include marketing and distribution fees, called “12(b)-1 fees,” and fees for administrative expenses. *No-load funds* are funds without front-end or back-end loads, where investors only pay only annual expense fees. (Strictly no-load funds can have 12(b)-1 fees as long as they are below 0.25%.)

There are many combinations of these types of fees. Table 16.6 lists fees on Janus Global Research and Janus Worldwide in January 2013. These funds have several share classes—this is common in active mutual funds. Investors would be best off with Class N shares (“N” is usually used for no-load shares), which carry the lowest fees. But why would investors choose other shares with higher fees? Mutual fund companies tend to use different share classes for different *distribution channels*. Active funds do not sell themselves. Front-end loads and 12(b)-1 fees are paid to brokers and other agents, who steer their clients to more expensive share classes.

Class A shares have a front-end load of 5.75%. Some funds (not Janus Global Research or Janus Worldwide) have *break points*, which are levels where the front-end loads change. With break points, larger initial investments have lower fees. Front-end loads are typically paid to brokers who sell the fund and so are effectively sales commissions. Some funds still charge front loads even though they are not sold through brokers.

Class B shares have a back-end load of 1%. Some mutual funds, but not these two, have contingent back-end loads (or a *contingent deferred sales charge*). In these arrangements, the longer you stay in the fund, the lower the back-end load.